CO 1: Display Primary Cost Elements

Exercise Display primary cost elements. **Time** 10 min

Task Use the SAP Fiori Launchpad to display primary cost elements.

Name (Position) Jamie Shamblin (Cost Accountant)

Primary cost element

Primary cost elements have a one-to-one relationship with G/L expense accounts in the chart of accounts. They serve to establish postings between FI and CO thereby permitting the sharing of information between financial and managerial accounting. In effect, costs that are entered into a G/L expense account associated with a primary cost element will be posted to both the financial and managerial accounting systems.

G/L account types

Note In SAP S/4HANA, primary costs are kept in a directory together with G/L accounts. A distinction is made between the following types of G/L accounts:

- *Inventory account*
  Account to which business transactions are posted. The balance of an inventory account is carried forward at the end of the fiscal year.
- *Cash account*
  Account to simplify payment processes on house bank accounts.
- *Non-operating expenses and income*
  A profit or loss account that records expenses or income from services that are not part of the company's primary purpose, such as a manufacturing company's profits realized from financial investments.
- *Primary Costs and Revenues*
  Income account that acts as a cost element for primary costs or revenues. Primary costs represent operating expenses such as payroll, sales expenses or administrative costs.
- *Secondary costs*
  A profit account that acts as a cost type for secondary costs. Secondary costs arise from the value flows in the company (e.g. cost allocations for own work, overhead allocations and billing processes).

Start

To review cost elements, in the *Controlling* area, on the *Cost Center Controlling* page, in the *Controller* role, select the app *Manage G/L Account Master Data*.



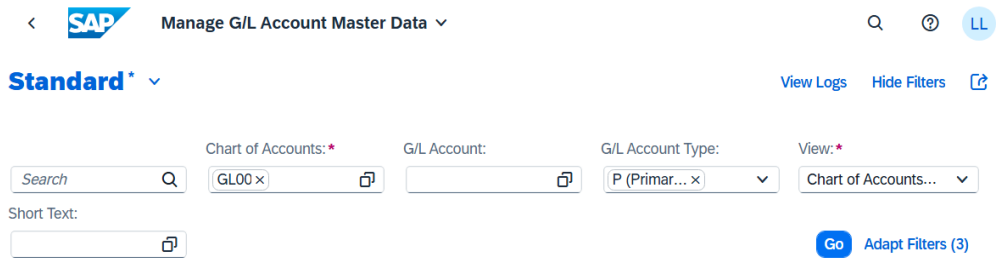
This takes you to the view *Manage G/L Account Master Data*. Since you do not yet know any primary cost element, you have to search for it.

First enter **GL00** *(Global Bike Group)* in the field *Chart of Accounts*. Then select the entry **P** *(Primary Costs or Revenue)* in the dropdown menu of the field *G/L Account Type*.

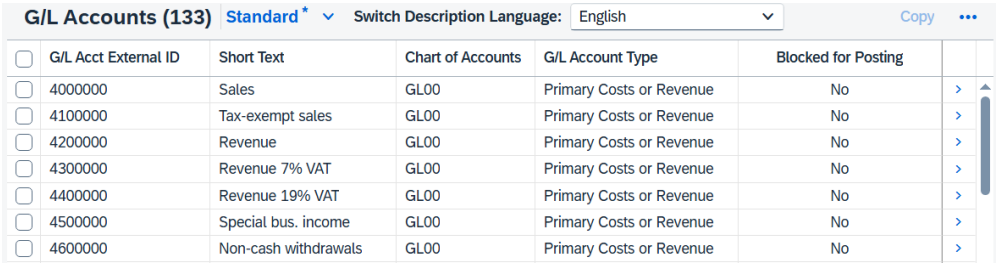
GL00
P (Primary Costs or Revenue)

Now make sure that the entry **Chart of Accounts View** is selected in the field *View*. Click Go to initiate the search.

Chart of Accounts View



The result is a list of all profit accounts for primary costs and revenues.



G/L Acct External ID	Short Text	Chart of Accounts	G/L Account Type	Blocked for Posting
4000000	Sales	GL00	Primary Costs or Revenue	No
4100000	Tax-exempt sales	GL00	Primary Costs or Revenue	No
4200000	Revenue	GL00	Primary Costs or Revenue	No
4300000	Revenue 7% VAT	GL00	Primary Costs or Revenue	No
4400000	Revenue 19% VAT	GL00	Primary Costs or Revenue	No
4500000	Special bus. income	GL00	Primary Costs or Revenue	No
4600000	Non-cash withdrawals	GL00	Primary Costs or Revenue	No

Almost all G/L accounts in account class 4 (G/L account number starting with 4) are revenue accounts and are not relevant in this exercise. On the other hand, take a closer look at G/L account classes 5 and 6 (account numbers beginning with 5 or 6).

Note You can also enter the search sequences 5* and 6* in the *G/L Account* field in order to filter the list of results according to account classes 5 and 6.

5*
6*

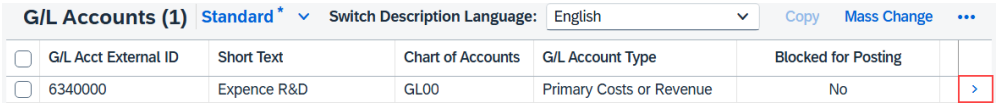


Now search for the primary cost type for research and development by entering **R&D** into the search field *Short Text*. You can trigger the update of the result list directly with Enter.

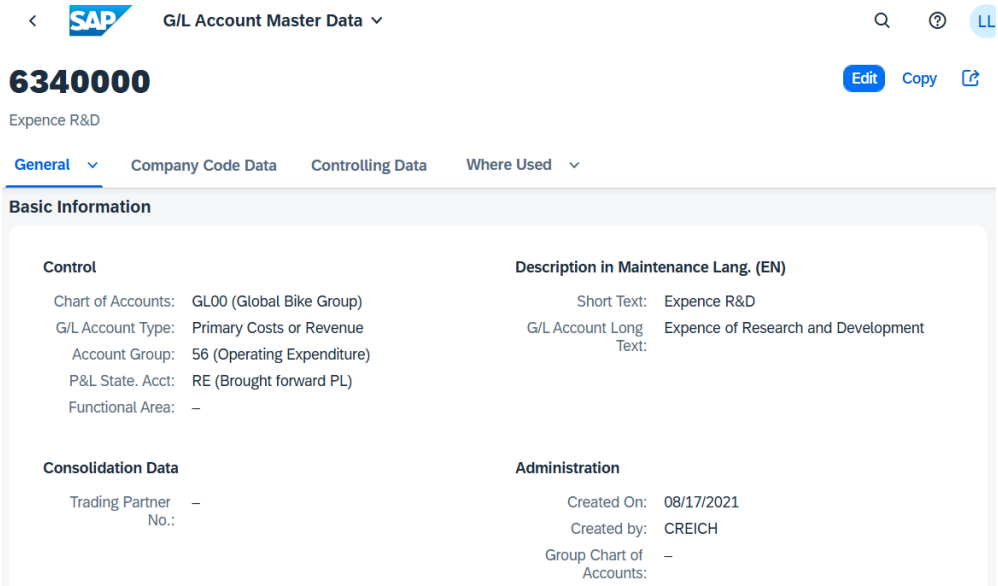
R&D
Enter



In the only result line click on the symbol on the far right ›.



In the following window, you can see the basic information about the most important properties of this G/L account.

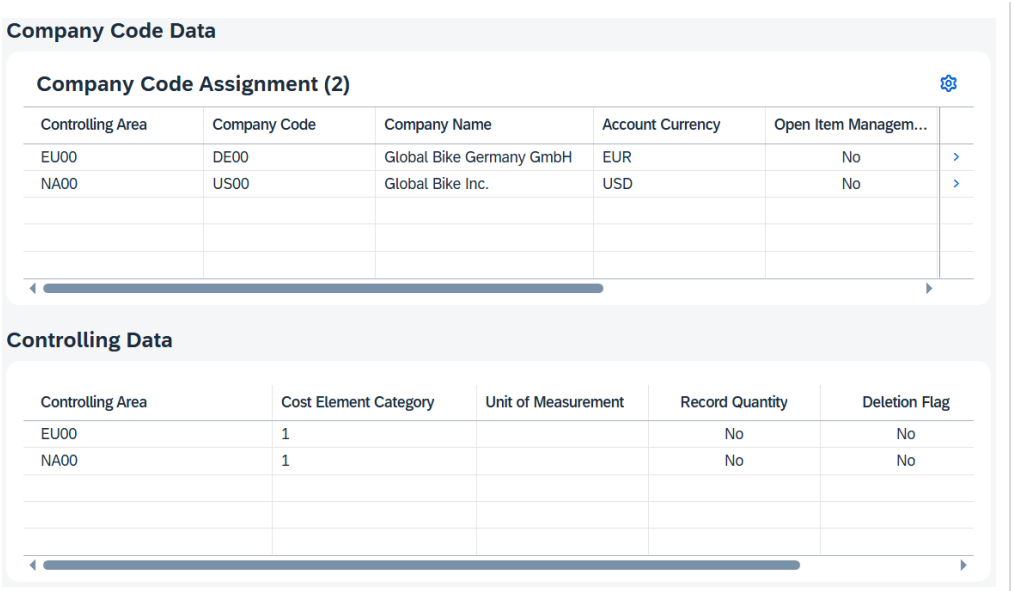


Which G/L account type and account group are used for the G/L account?

The connection between finance and controlling is also visible here. Select the tab *Company Code Data*.

Company Code Data

The screen will automatically scroll to the appropriate point. You can see the *Company Code Assignment* and the *Controlling Data* directly below it.



Click once on the symbol in the navigation bar at the top left ‹ to return to the view *Manage G/L Account Master Data*. Stay in this window for the next exercise.

CO 2: Display Secondary Cost Elements

Exercise Display secondary cost elements. **Time** 10 min

Task Use the SAP Fiori Launchpad to display secondary cost elements.

Name (Position) Jamie Shamblin (Cost Accountant)

Secondary cost element

Secondary cost elements are exclusive to managerial accounting (CO). They are used to allocate costs among cost centers, thereby assigning costs to responsible parties.

Note In SAP S/4HANA, secondary costs are managed in a central directory together with the G/L account types mentioned above. At first glance, this appears to contradict the definition above. In SAP S/4HANA, however, secondary cost types are organized and saved together with G/L accounts for performance reasons. Logically, they still belong only to controlling.

Start

You should still be in the app *Manage G/L Account Master Data* after completing the previous step. **GL00** should be entered in the *Chart of Accounts* field and 5* and 6*, if applicable, in the *G/L Account Type* field. The *View* field shows Chart of Accounts and the *Short Text* field shows *R & D*.

S (Secondary Costs)

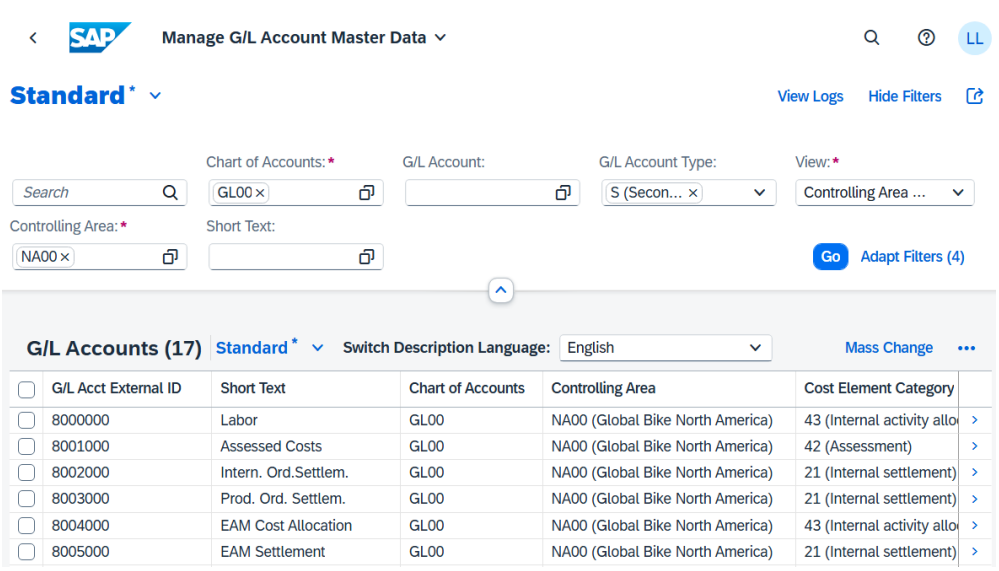
First, delete all entries in the fields *G/L Account*, *G/L Account Type* and *Short Text*. Now select the entry **S (Secondary Costs)** in the G/L Account Type field and confirm with Enter or click Go.

Cost Element Type

You will receive a list of all G/L Accounts in account class 8 (account number starting with 8). These are used for internal cost and activity allocation as well as for apportioning and distributing overhead costs. The *Cost Element Type* indicates which function a cost element has.

Controlling Area View
NA00

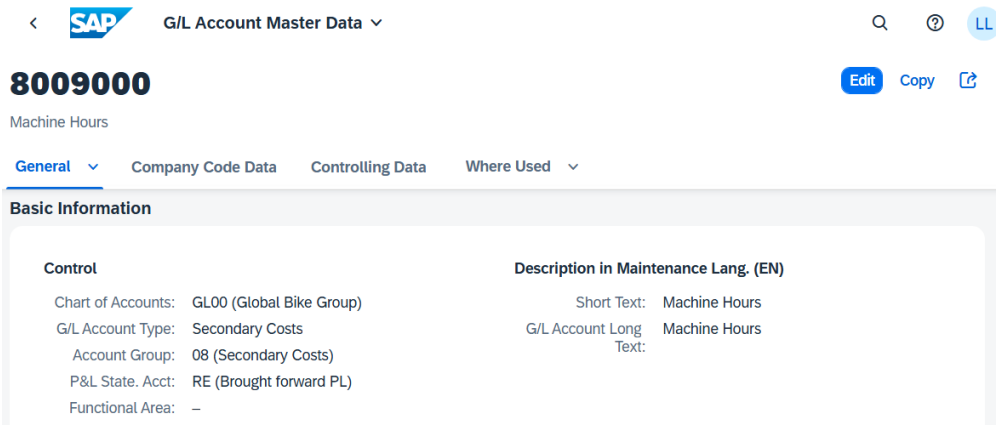
To display the respective types of the listed cost types, change the entry in the *View* field to **Controlling Area View** and enter **NA00** (Global Bike North America) in the field *Controlling Area*. Press Go.



In the result line for cost element *8009000 (Machine Hours)*, click the symbol on the far right ›.



In the following window you can see the detailed information on this cost type.



Which G/L Account Type and Account Group are used for the G/L Account?

Note If you click on the tab *Controlling Data*, you will see that the cost element category can be maintained differently for each controlling area. This is also the reason why in SAP S/4HANA - unlike in SAP ERP - there is now a *Controlling Area View* for G/L Accounts in addition to the *Chart of Accounts* and the *Company Code View* for maintaining the cost types.

Controlling Area View
Chart of Accounts
Company Code View

Controlling Data

Controlling Area	Cost Element Category	Unit of Measurement	Record Quantity	Deletion Flag
EU00	43		No	No
NA00	43		No	No

Can you describe the main differences between the general ledger accounts *Expence R&D (6340000)* and *Machine Hours (8009000)*?

_____

_____

_____

Click the  icon on the navigation bar in the top left to return to the SAP Fiori Launchpad.

CO 3: Display Cost Element Groups

Exercise Display cost element groups. **Time** 10 min

Task Use the SAP Fiori Launchpad to display existing cost element groups.

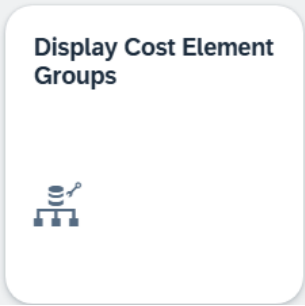
Name (Position) Jamie Shamblin (Cost Accountant)

Cost element group

A cost element group is an organizational unit consisting of a particular collection of cost elements. They facilitate working with both primary and secondary cost elements by creating logical groupings.

Start

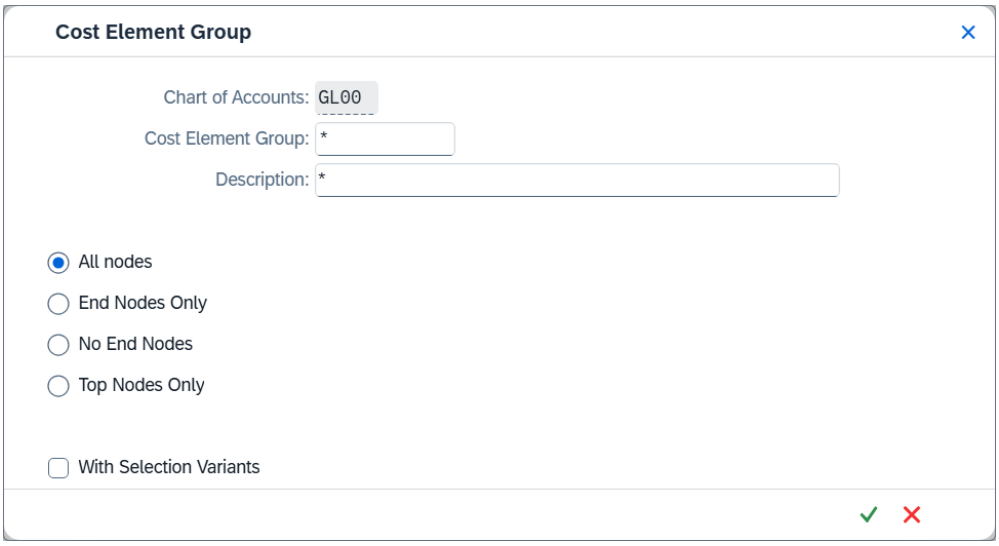
To review cost element groups, in the *Controlling* area, on the *Cost Center Controlling* page, in the *Controller* role, use the app *Display Cost Element Groups*.



NA00

If you are asked to enter a Controlling Area, choose **NA00** and select continue.

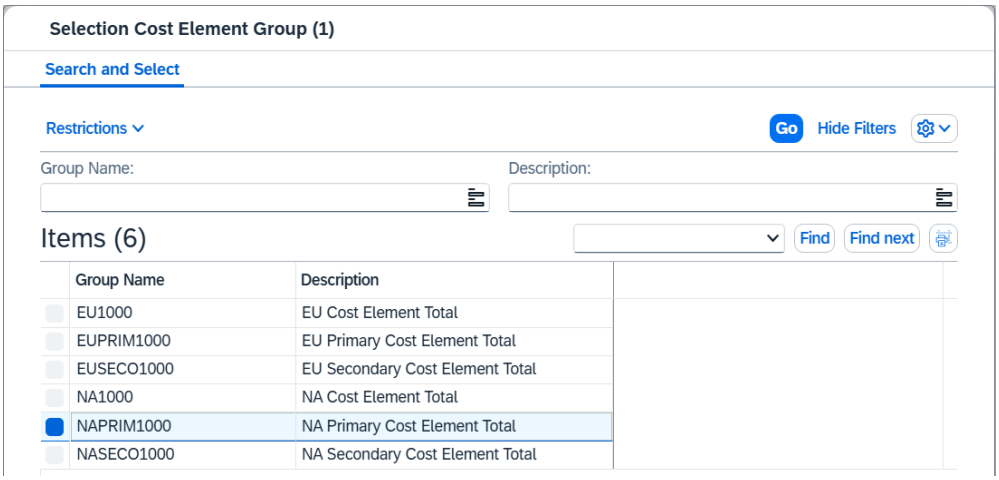
In the *Display Cost Element Group: Initial Screen*, press . In the following *Cost Element Group* screen, the Chart of Accounts is already entered.



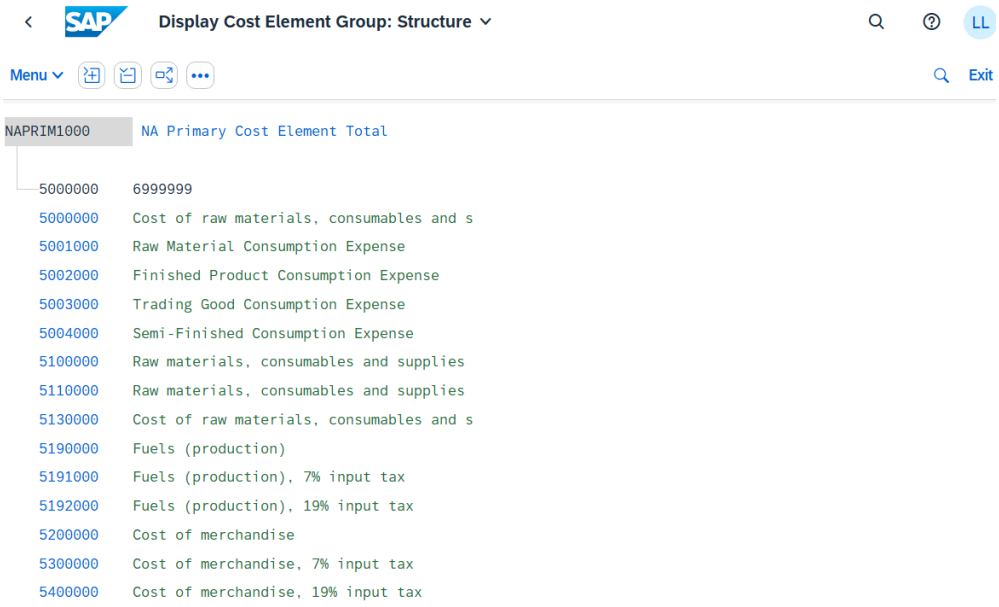
Click ✓ to display all GBI cost element groups.

Double click on the cost element group for all primary cost elements in North America (**NAPRIM1000**).

NAPRIM1000

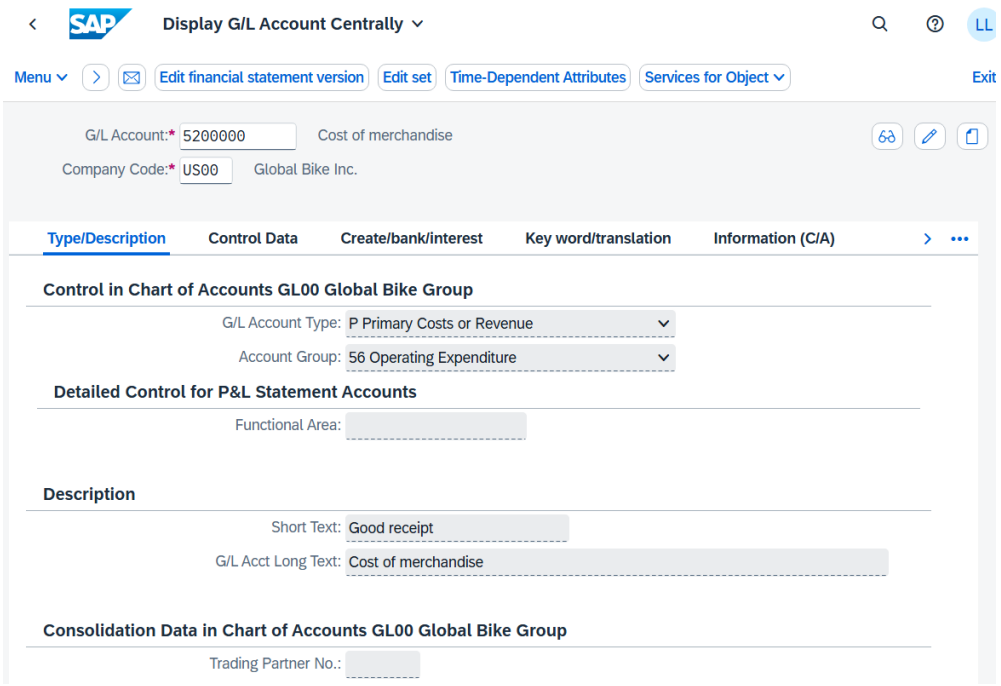


Confirm your selection with OK. The cost element group is copied to the initial screen. Press Execute.



In this interactive list, you can double click on any cost element to display its master data details. As an example, double-click on Cost of merchandise (**5200000**).

5200000



What is the Account Group?

_____

Click on twice to go back to the *Display Cost Element Group: Initial Screen* and repeat the same procedure for the secondary cost elements in Europe.

What is the unique number for cost element group *EU Secondary Cost Element Total*?

_____

Click on to return to the SAP Fiori Launchpad.

CO 4: Review Cost Center Standard Hierarchy

Exercise Review the cost center standard hierarchy. **Time** 10 min

Task Use the SAP Fiori Launchpad to review the cost center standard hierarchy.

Name (Position) Jamie Shamblin (Controller)

Cost center structure

Cost center

The cost center structure is a hierarchically organized data object that is used to capture and assign costs in a meaningful manner thereby permitting managerial accounting analyses that support decision-making. A cost center is an area of responsibility within a company that is deemed to be accountable for incurring and influencing costs. Cost centers do not generate revenue.

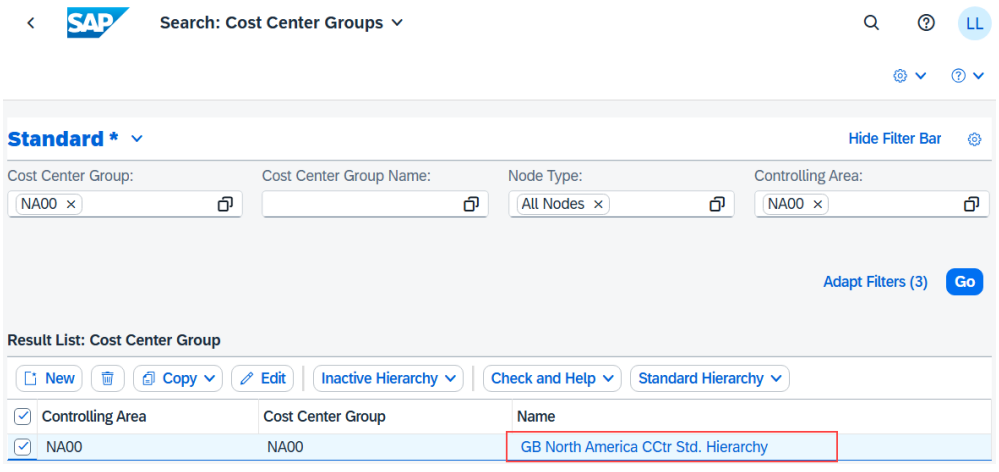
Start

In order to review the cost center standard hierarchy, use the app *Manage Cost Center Groups* in the *Controlling* area, on the *Cost Center Controlling* page, in the *Controller* role.



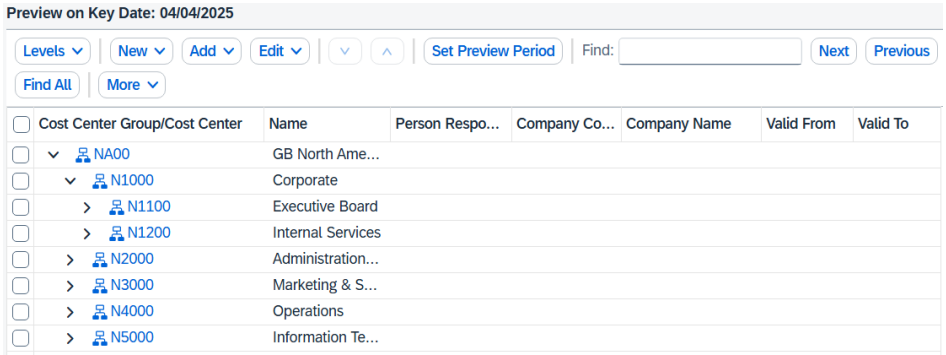
NA00

The *Search: Cost Center Groups* screen appears. First search for the *cost center group* **NA00**. The group is displayed in the results list. To get to the standard hierarchy, click on the name of the cost center group.



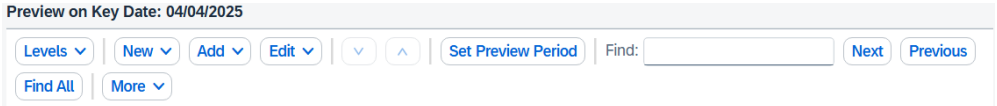
A new browser tab opens with the view *Cost center group: NA00*. By default, the node (🖧) on level 1 *NA00* is already expanded and all nodes on level 2 are visible. A click on › opens a node and lists underlying cost center groups or individual cost centers.

For example, expanding the first node *N1000 (Corporate)* shows the underlying cost center groups on the third level.



Cost Center Group/Cost Center	Name	Person Respo...	Company Co...	Company Name	Valid From	Valid To
NA00	GB North Ame...					
N1000	Corporate					
N1100	Executive Board					
N1200	Internal Services					
N2000	Administration...					
N3000	Marketing & S...					
N4000	Operations					
N5000	Information Te...					

You can also choose Levels to expand everything. This way, all levels below will be expanded down to individual cost centers. The system will now show you the complete hierarchy.



Cost Center Group/Cost Center	Name	Person Respo...	Company Co...	Company Name	Valid From	Valid To
NA00	GB North Ame...					
N1000	Corporate					
N1100	Executive Board					
NAEX1000	John Davis	John Davis	US00	Global Bike Inc.	01/01/2009	12/31/9999
NAEX2000	Peter Weiss	Peter weiss	US00	Global Bike Inc.	01/01/2009	12/31/9999
N1200	Internal Services					
NAIS1000	Internal Services	NA Int Serv Mgr	US00	Global Bike Inc.	01/01/2009	12/31/9999
N2000	Administration...					
N2100	Administration					
NAAD1000	Admin Costs	NA Admin Mgr	US00	Global Bike Inc.	01/01/2009	12/31/9999
N2200	Human Resour...					
NAHR1000	HR Costs	NA HR Manager	US00	Global Bike Inc.	01/01/2009	12/31/9999
NAHR3000	HR Recruiting	NA HR Manager	US00	Global Bike Inc.	01/01/2009	12/31/9999
N2300	Procurement					
NAPC1000	Procurement ...	NA Proc Mgr	US00	Global Bike Inc.	01/01/2009	12/31/9999
N3000	Marketing & S...					
N3100	Marketing					
NAMK1000	Marketing Costs	NA Mark Mgr	US00	Global Bike Inc.	01/01/2009	12/31/9999
N3200	Sales					
NABR1000	NA Bike Rental	NA BR Respo...	US00	Global Bike Inc.	01/01/2009	12/31/9999

What is cost center group N5000?

_____

Within the cost center group, N3000, what is the specific cost center, NAMK1000?

_____

Which person is responsible for NASA1000?

_____

Click the  icon on the navigation bar in the top left to return to the SAP Fiori Launchpad.



CO 5: Display Cost Center

Task Display cost centers. **Time** 10 Min.

Description Use the SAP Fiori launchpad to display individual cost centers.

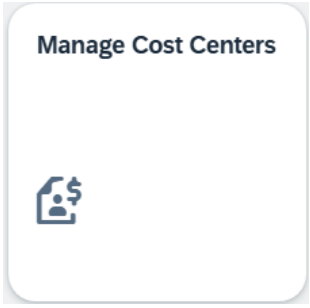
Name (Position) Jamie Shamblin (Controller)

Cost Center

In the SAP system, a cost center is an organizational unit within a controlling area. It represents a clearly definable place where costs arise. Cost centers can be divided according to functional, spatial, accounting and performance aspects as well as according to responsibility.

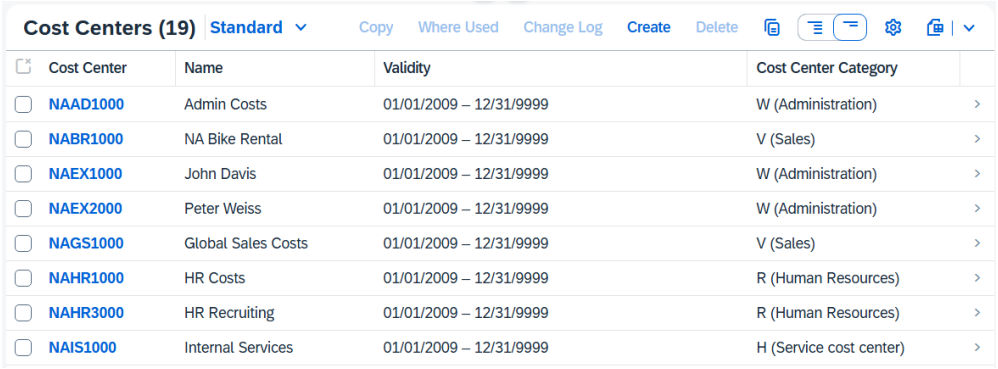
Start

Familiarize yourself with the cost centers in Global Bike by opening the *Manage cost center*s app in the *Controlling* area, on the *Cost Center Controlling* page, in the *Controller* role.



NA00

Enter **NA00** in the Controlling area field. Leave all other fields blank for now and click Go. The result is a list of all cost centers used by Global Bike in North America.



Cost Center	Name	Validity	Cost Center Category
NAAD1000	Admin Costs	01/01/2009 – 12/31/9999	W (Administration)
NABR1000	NA Bike Rental	01/01/2009 – 12/31/9999	V (Sales)
NAEX1000	John Davis	01/01/2009 – 12/31/9999	W (Administration)
NAEX2000	Peter Weiss	01/01/2009 – 12/31/9999	W (Administration)
NAGS1000	Global Sales Costs	01/01/2009 – 12/31/9999	V (Sales)
NAHR1000	HR Costs	01/01/2009 – 12/31/9999	R (Human Resources)
NAHR3000	HR Recruiting	01/01/2009 – 12/31/9999	R (Human Resources)
NAIS1000	Internal Services	01/01/2009 – 12/31/9999	H (Service cost center)

NASA1000

Limit the search result further by entering **NASA1000** in the *Cost Center* field and click Go. The list of results is then updated and only one cost center is displayed. View it's details by clicking › at the end of the line.



Who is responsible for the NASA1000 cost center?

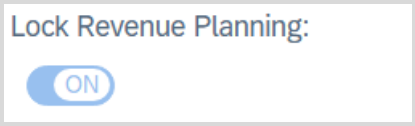
_____

Which node in the standard cost center hierarchy is the cost center NASA1000 assigned to?

_____

Revenue postings

Note On the Control tab you can see that this cost center is blocked for revenue postings. Even then, revenues (i.e. postings via cost type 11) would only be made statistically and not cost-effectively.



Cost credits or corrections can only be made within Controlling with cost element 01 (primary costs / cost-reducing revenues) and a negative value sign.

Click the SAP icon in the navigation bar in the top left to return to the SAP Fiori Launchpad.